IMAGO DEI INSURANCE ADVISORS

A FREE GUIDE FOR FAITH-LED LEADERS

The Small Business Owner's Guide to Employee Benefits

Understand your options, question your renewal, and steward benefits with clarity, confidence, and care.

Care for Your Team. Benefits Made Simple.

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Contents

FROM THE ADVISORS

A Note Before You Begin

If you lead a small business, church, or nonprofit, benefits probably feel like something that happens *to* you. A renewal arrives. The number is higher. The clock is short. You sign, you absorb, and you brace for next year.

It does not have to work that way.

This guide was written for owners, executive directors, pastors, and HR leaders who carry the weight of caring for a team while stewarding limited resources. You will not find sales pitches or scare tactics in these pages. You will find plain-language explanations of how benefits actually work, why costs behave the way they do, and the questions that put leverage back in your hands.

We named our firm Imago Dei, Latin for “Image of God,” because we believe every employee is an image-bearer with inherent worth and dignity. That conviction shapes how we think about benefits: not as a line item to be minimized, but as an act of stewardship and care.

Read this guide with your current plan in mind. Mark it up. Bring the questions in the appendix to your next leadership meeting. Whether or not we ever work together, our hope is that you finish these pages with more clarity, more confidence, and a benefits strategy worthy of the people it serves.

Care for your team. Benefits made simple.

David & Adam
Imago Dei Insurance Advisors

CHAPTER 1

Why Employee Benefits Are Broken for Small Businesses

Employee benefits are not confusing because small business owners or HR leaders are incapable of understanding them. They are confusing because the system itself is designed to be confusing.

Most small business leaders operate under a set of assumptions that feel reasonable but are quietly expensive. Common beliefs include: "This is just how insurance works," "Everyone's costs go up every year," or "We'll look at it again at renewal." These assumptions are rarely questioned, and as a result, many organizations stay stuck in plans that no longer serve their people or their mission.

These assumptions are not neutral. They are the reason small businesses continue to lose ground year after year.

The Myth of Inevitable Cost Increases

Rising healthcare costs are real, but relentless double-digit renewals are not inevitable. When premiums increase dramatically year after year, it is usually a signal that risk, claims, and plan design are not being actively managed.

Many small employers are placed into insurance arrangements that conceal the true drivers of cost. These plans often reward carriers for opacity and discourage meaningful mid-year review. Employers are told to wait until renewal, at which point most decisions are already constrained.

Scripture calls leaders to a different posture. Proverbs 27:23 instructs, "Be sure you know the condition of your flocks; give careful attention to your herds." Yet most employers are never shown what is actually happening within their plan. They do not see where dollars are going, which claims are driving costs, or what adjustments could be made proactively.

Stewardship is impossible without visibility. You cannot responsibly manage what you are not allowed to see.

The Misconception That Benefits Are "Just an HR Issue"

Employee benefits are often treated as an administrative function, delegated entirely to HR and revisited once a year. This framing is convenient, but it is inaccurate.

Benefits represent one of the largest expenses for most organizations. They materially affect employee retention, morale, and trust. Decisions about benefits are leadership decisions, not merely administrative ones.

When leadership disengages, HR is left with responsibility but little authority. This creates frustration on both sides and leaves the organization exposed to unnecessary risk and inefficiency.

Jesus addresses the importance of intentional planning in Luke 14:28: “Suppose one of you wants to build a tower. Won’t you first sit down and estimate the cost to see if you have enough money to complete it?” Yet many companies commit hundreds of thousands of dollars annually to benefits without ever stepping back to evaluate whether the structure still makes sense.

Delegation can be wise. Abdication is not.

The Assumption That Brokers Will Always Present Better Options

Many employers trust that if a better option existed, their broker would bring it forward. While this may sometimes be true, the system itself does not always incentivize proactive change.

Most brokers are not malicious or dishonest. They are often overworked, compensated primarily by carriers, and rewarded for simplicity and consistency. As a result, the status quo becomes the path of least resistance.

Many employers are never shown alternative funding models, meaningful benchmarks for similarly sized organizations, or the tradeoffs between convenience and stewardship. Proverbs 18:17 reminds us, “The first to present his case seems right, until another comes forward and questions him.”

Without a second perspective, familiarity can be mistaken for quality. A plan that is unchanged year after year may feel safe, but that does not mean it is effective or faithful.

The False Tradeoff Between Cost and Care

Another common belief is that better benefits always require higher costs. This assumption is particularly damaging for mission-driven organizations that desire to care well for employees while remaining financially responsible.

In reality, many of the most effective benefit strategies reduce waste, align incentives, and improve employee experience at the same time. The issue is not generosity; it is misalignment.

First Corinthians 4:2 states, “It is required of stewards that they be found faithful.” For Christian employers, benefits are not merely a financial obligation. They are part of how leaders care for people and steward the resources entrusted to them.

Faithful stewardship asks deeper questions than “What did we do last year?” or “What is easiest to administer?” It requires intentionality, clarity, and courage to challenge assumptions.

What Is Actually Broken

The small business benefits system is broken not because leaders do not care, but because the system discourages engagement. Employers are often kept distant from meaningful data, renewal conversations happen too late to allow real change, and frustration leads to disengagement.

Over time, stewardship is replaced by autopilot. Autopilot may feel safe, but it is rarely wise, and it is almost always expensive.

A Better Starting Point

This guide exists to challenge assumptions, clarify complexity, and restore agency to business owners and HR leaders. You do not need to become an insurance expert. You do need a framework that allows you to evaluate benefits thoughtfully, align them with your values, and serve your people well.

The chapters that follow are designed to provide that framework, one step at a time.

CHAPTER 2

What Employee Benefits Are Actually For

Most conversations about employee benefits start with cost. That is understandable, but it is backward.

Cost matters, but cost is not the purpose of benefits. When leaders begin with the wrong purpose, every downstream decision becomes distorted. Plans are chosen for convenience rather than impact, and frustration replaces clarity.

To steward benefits well, leaders must first answer a more fundamental question: *What are employee benefits actually for?*

Benefits Are Not About Perks

In recent years, benefits have been marketed as perks. Employers are told that better benefits attract better talent, that richer plans signal company culture, and that more options equal happier employees.

This thinking has some truth in competitive labor markets, but it breaks down quickly for small and mid-sized organizations. Most small businesses cannot, and should not, attempt to replicate enterprise-level benefit packages. Doing so often leads to bloated plans, rising costs, and employee confusion.

Benefits are not meant to impress. They are meant to protect, support, and stabilize.

At their core, benefits exist to reduce uncertainty for employees. Health insurance, disability coverage, and other core benefits provide a safety net so employees can focus on their work without constant fear of financial catastrophe.

When benefits are treated as perks, they become fragile. When they are treated as protection, they become foundational.

Benefits Serve Retention More Than Attraction

Another common misconception is that benefits primarily exist to attract new hires. In reality, benefits play a much larger role in retention than recruitment.

Most employees do not join a company because of the health insurance plan. They stay because the benefits work when they need them. A smooth claims experience, predictable payroll deductions, and clear communication matter far more than flashy plan names.

For small businesses, this distinction is critical. Turnover is expensive. Lost productivity, recruiting costs, and training time compound quickly. Benefits that reduce stress and uncertainty quietly increase loyalty, even if employees cannot articulate exactly why.

Scripture affirms the importance of stability and fairness in how workers are treated. Colossians 4:1 states, “Masters, treat your bondservants justly and fairly, knowing that you also have a Master in heaven.” Employers who invest thoughtfully in benefits are not engaging in excess; they are creating the conditions for sustainable work.

Benefits Are a Leadership Responsibility

Although benefits are often administered by HR, they are not owned by HR alone. Benefits reflect leadership priorities, financial discipline, and care for people.

When leadership disengages from benefits, decisions default to what is easiest to renew rather than what is best to steward. Over time, misalignment grows. HR becomes the messenger for decisions they did not make, and employees direct frustration toward the wrong people.

Good leadership does not require micromanaging benefits. It requires setting direction, asking the right questions, and ensuring accountability. Leaders must be involved enough to understand tradeoffs and outcomes, even if they are not handling day-to-day administration.

James 1:5 offers wisdom here: “If any of you lacks wisdom, you should ask God, who gives generously to all without finding fault.” Seeking wisdom includes seeking understanding. Benefits decisions should be informed, prayerful, and intentional, not automatic.

Benefits Are a Stewardship Decision

For Christian employers, benefits carry an added layer of responsibility. They sit at the intersection of people care and financial stewardship.

Every dollar spent on benefits is a dollar entrusted to leadership for a purpose. That purpose includes caring for employees, but it also includes sustaining the organization’s mission. Overspending helps no one. Underinvesting harms trust.

Faithful stewardship requires balance. It asks leaders to reject both neglect and excess. It requires resisting fear-based decisions driven by renewal notices and instead pursuing clarity and alignment.

Luke 16:10 teaches, “One who is faithful in a very little is also faithful in much.” Benefits may feel complex, but they are a tangible test of faithfulness in leadership. Small decisions, made consistently and thoughtfully, compound over time.

Benefits Should Reduce Burden, Not Create It

One often-overlooked purpose of benefits is burden reduction, not only for employees, but for HR and leadership as well.

When benefits are poorly designed, HR teams spend countless hours answering the same questions, fixing enrollment errors, and managing frustrated employees. Leadership absorbs renewal shocks and budget surprises. Stress increases across the organization.

Well-structured benefits do the opposite. They create predictability. They streamline administration. They allow HR to focus on people instead of paperwork.

This does not happen by accident. It happens when benefits are chosen and reviewed with intention.

A Clearer Definition of Purpose

Employee benefits are not about copying competitors or chasing trends. They are not about avoiding complaints or simply getting through another renewal.

Benefits exist to:

- Protect employees from financial risk
- Support retention and stability
- Reflect leadership values
- Steward organizational resources faithfully
- Reduce unnecessary burden on HR and leadership

When benefits are aligned with these purposes, cost discussions become clearer, not harder. Decisions are made in context, not fear.

The next step is understanding how different funding models support, or undermine, these goals. Not all insurance structures serve small businesses equally, and the differences matter more than most employers realize.

That is where we turn next.

CHAPTER 3

Health Insurance Funding Models Explained

Before choosing a health insurance plan, small business owners and HR leaders must understand a more foundational decision: **how the plan is funded**.

Most confusion around health insurance does not come from networks or deductibles. It comes from misunderstanding where the risk sits and who ultimately pays the claims. Nearly every option available to small employers falls into one of two broad categories: fully insured or self-funded.

Understanding these categories simplifies decision-making and prevents costly assumptions.

Fully Insured Plans

Fully insured arrangements are the most familiar and the most common choice for small employers. In these plans, the employer pays a fixed monthly premium to an insurance carrier. In exchange, the carrier assumes the financial risk for employee claims.

Predictability is the primary appeal. Costs are known in advance, and administrative responsibilities are limited. However, simplicity often comes at a price.

Traditional Fully Insured Plans

Traditional fully insured plans are what most employers think of when they hear “group health insurance.” The carrier sets the premium, processes claims, and absorbs any losses.

While this structure feels safe, it has meaningful limitations. Premiums are based on pooled risk, meaning healthy groups often subsidize less healthy ones. Employers receive little to no visibility into claims data and have limited ability to influence costs beyond plan design changes.

At renewal, employers are presented with new rates that reflect past claims and broader market trends. By the time these increases appear, the opportunity to affect them has passed.

Fully insured plans can make sense for very small or highly volatile groups, but for growing organizations, they often become increasingly inefficient over time.

Professional Employer Organizations (PEOs)

PEOs offer access to health insurance by placing employees into a larger pooled group under the PEO's umbrella or master contract. In effect, the employer is outsourcing HR functions and joining a massive risk pool.

This can provide short-term stability and access to plans that might otherwise be unavailable. However, the tradeoffs are significant. Employers often lose control over plan design, contribution strategy, and employee experience. Costs can be difficult to disentangle from broader PEO fees.

Some PEOs allow for health insurance carve-outs, which may be a great solution for receiving the benefits of a PEO without the mandated fully insured insurance option.

PEOs may work well for companies that want comprehensive HR outsourcing. They are rarely the most cost-effective option for organizations that already have internal HR leadership or desire greater autonomy.

Individual Coverage Health Reimbursement Arrangements (ICHRAs)

ICHRAs allow employers to reimburse employees for individual health insurance purchased on the open market. Rather than offering a group plan, the employer provides a defined contribution.

This approach offers budget control and flexibility, particularly for distributed workforces. However, it also shifts complexity to employees, who must navigate individual markets on their own. This option is rarely most beneficial to the employee, but more beneficial to the employer.

ICHRAs can be effective in certain situations, but they require careful communication and are not a fit for every workforce. They are best viewed as an alternative fully insured strategy rather than a direct replacement for group plans.

Self-Funded Plans

Self-funded arrangements place the financial risk for claims partially or entirely on the employer. Instead of paying a fixed premium, the employer pays claims as they occur and purchases stop-loss insurance to cap potential exposure.

While this sounds intimidating, self-funding exists on a spectrum. Not all self-funded plans carry the same level of risk or administrative burden.

Traditional Self-Funding

In traditional self-funded plans, employers assume responsibility for all claims up to a high stop-loss threshold. This model is most common among large organizations with hundreds or thousands of employees.

For small employers, traditional self-funding is rarely appropriate. Claim volatility is higher, cash flow risk is significant, and the administrative complexity can outweigh potential savings.

This option is included here for completeness, but it is generally not the right starting point for small or mid-sized companies.

Level-Funded Plans

Level-funded plans occupy the middle ground between fully insured and self-funded models. They combine the predictability employers want with the transparency and control typically reserved for larger organizations.

In a level-funded plan, the employer pays a consistent monthly amount, similar to a premium. That amount is made up of three components: expected claims, administrative costs, and stop-loss insurance. Claims are paid from a dedicated account, and if claims are lower than expected, the employer may receive a refund.

This structure changes the incentives. Instead of paying for pooled risk, employers fund their own group's expected costs. Healthy behavior and thoughtful plan design are rewarded, not penalized.

Level-funded plans provide access to claims data, enabling proactive management rather than reactive renewal conversations. They also offer downside protection through stop-loss coverage, limiting financial exposure.

For many organizations in the 10–100 employee range, level-funded plans offer a compelling balance of risk, reward, and stewardship. They are not appropriate for every employer, but they deserve serious consideration rather than being dismissed as "too complex."

Proverbs 21:5 speaks to this approach: "The plans of the diligent lead surely to abundance, but everyone who is hasty comes only to poverty." Level funding rewards diligence: planning, monitoring, and engagement, rather than autopilot.

Alternative Funding Arrangements

Beyond traditional insurance structures, some employers explore alternative funding options that align with specific values or organizational identities.

Church Plans

Church plans are a unique category available to churches and certain church-affiliated organizations. Traditionally, church plans are similar to PEOs with a master contract and a lack of options for employers. Cost savings come from large risk pools. These plans are often exempt from some federal regulations and may offer cost advantages.

However, exemptions come with tradeoffs. Protections under ERISA may not apply, and plan design flexibility varies widely. Church plans require careful evaluation to ensure they meet both financial and fiduciary responsibilities.

They can be effective in the right context, but they are not inherently superior to other funding models.

Christian Health Share Ministries

Health share ministries operate outside traditional insurance. Members share medical costs according to agreed-upon guidelines, often grounded in shared faith commitments.

These programs can appeal to faith-driven organizations, but they are fundamentally different from insurance. They do not guarantee payment of claims, and coverage guidelines may limit what expenses are shared.

Christian health shares may work for individuals or specific groups, but employers must understand the legal, financial, and employee-relations implications before considering them as a replacement for traditional coverage.

Romans 14:12 offers a helpful reminder: “So then, each of us will give an account of ourselves to God.” Good intentions do not replace due diligence. Faith-based solutions still require careful evaluation.

Choosing the Right Model

There is no universally “best” funding model. The right choice depends on workforce size, financial tolerance, administrative capacity, and organizational values.

What matters most is understanding the options clearly and choosing intentionally. When employers understand how their plan is funded, they regain agency. When they regain agency, benefits become a tool instead of a burden.

In the next chapter, we will explore why renewals continue to rise and how employers can regain leverage before it is too late.

CHAPTER 4

The Hidden Cost of Renewals (and Why They Keep Going Up)

For most small businesses, the benefits renewal process feels unavoidable and exhausting. Every year, rates increase. Every year, leadership reacts. And every year, the same questions are asked: *Why is this happening, and what can we do about it?*

The frustrating answer many employers receive is some version of, "Healthcare costs are rising," or "This is just the market." While not entirely false, these explanations hide a deeper issue. The true cost of renewals is not just financial. It is structural.

Renewals are expensive not only because premiums increase, but because of how and when decisions are made.

Renewals Are Reactive by Design

Most renewal conversations begin far too late. Employers are often notified of new rates 30 to 60 days before the plan year ends. At that point, options are limited, time is short, and meaningful change is difficult.

This timing benefits carriers and administrators, not employers. When decisions are rushed, the path of least resistance is renewal with minimal changes. Employers may adjust deductibles or contributions, but the underlying structure remains untouched.

Proverbs 29:18 states, "Where there is no vision, the people perish." Renewals conducted without context, planning, or vision inevitably lead to deterioration. The absence of long-term strategy ensures that short-term fixes become permanent habits.

The Data Problem

One of the least discussed drivers of rising renewals is lack of access to meaningful data. Many employers never see claims information until after renewal rates are finalized. Others receive data that is delayed, summarized, or stripped of actionable insight.

Without timely data, employers cannot identify trends, mitigate risk, or adjust plan design proactively. Decisions are made based on surprise rather than understanding.

This lack of transparency undermines stewardship. Proverbs 11:1 warns, "The Lord detests dishonest scales, but accurate weights find favor with him." When employers are not given clear information, they are forced to operate with incomplete measures.

Pooling and the Penalty for Being Healthy

In fully insured models, employers are part of a pooled risk group. While pooling can protect against volatility, it also means healthy groups subsidize higher-cost ones.

This structure removes incentives for wellness, engagement, or thoughtful plan design. Employers who invest in employee health often see little reward. At renewal, their rates may rise regardless of claims performance.

Over time, this dynamic erodes trust. Employers do what they are told, yet costs continue to increase. The system penalizes responsibility and rewards passivity.

The Human Cost of Annual Disruption

Renewals also impose a human cost. HR teams brace for difficult conversations with employees. Leaders worry about morale. Employees face plan changes, increased deductions, and confusion.

These disruptions occur year after year, even when no meaningful improvements are made. The emotional toll compounds alongside the financial one.

Galatians 6:2 encourages believers to “carry each other’s burdens.” Annual benefit upheaval does the opposite. It shifts stress downward and creates uncertainty where stability is needed most.

Why Small Employers Lose Leverage

Large organizations negotiate. Small businesses react.

Without early planning, benchmark data, or alternative structures, small employers have little leverage at renewal. Carriers know that switching plans is disruptive and that time is scarce.

This imbalance of power keeps employers locked into cycles they dislike but feel powerless to escape.

Ecclesiastes 7:12 offers insight: “Wisdom preserves those who have it.” Knowledge and preparation restore leverage. Without them, employers remain exposed.

The Cost No One Calculates

The true cost of renewals includes:

- Leadership time spent managing surprises
- HR burnout from repeated disruptions
- Employee dissatisfaction and turnover
- Missed opportunities for savings and stability

These costs rarely appear on a spreadsheet, but they are real and cumulative.

Renewals are not simply an annual event. They are a symptom of how benefits are managed throughout the year.

A Better Way to Approach Renewals

Renewals do not have to be chaotic or adversarial. When employers engage earlier, demand transparency, and evaluate funding models intentionally, renewal conversations change.

The goal is not to eliminate renewals, but to remove fear from them. When decisions are made proactively, renewal becomes confirmation rather than crisis.

Proverbs 16:3 provides a helpful posture: “Commit to the Lord whatever you do, and he will establish your plans.” Planning is not a lack of faith. It is an expression of trust paired with responsibility.

In the next chapter, we will examine what small and mid-sized employers should actually be paying for benefits, and how to recognize when costs are out of alignment with reality.

CHAPTER 5

How Much Should a Small Business Really Be Paying for Benefits?

One of the most common questions business owners ask is also one of the hardest to answer clearly: *How much should we be paying for employee benefits?*

The difficulty is not a lack of data. It is the temptation to treat benchmarks as answers rather than indicators. No two companies are identical, and precise numbers can mislead as easily as they inform.

The goal of this chapter is not to provide a single "correct" number. It is to offer **context**, **ranges**, and **diagnostic tools** that help leaders recognize when costs are aligned, and when they deserve closer scrutiny.

Why Benchmarks Are Both Helpful and Dangerous

Benchmarks can be useful when they frame expectations. They become harmful when they replace thinking.

Many employers are shown averages without understanding what drives them. Industry, geography, workforce age, contribution strategy, and funding model all materially affect cost. A benchmark without context can create false comfort or unnecessary alarm.

Ecclesiastes 7:9 cautions, "Do not be quickly provoked in your spirit." Emotional reactions to benchmarks, whether pride or panic, rarely lead to wise decisions.

Benchmarks should prompt questions, not conclusions.

Cost Is Shared, Not Singular

Another common mistake is treating benefit cost as a single figure. In reality, cost is shared between employer and employee, and how that cost is structured matters as much as the total.

Employer costs include premiums or funding contributions, administrative expenses, and payroll-related taxes. Employee costs include payroll deductions, deductibles, coinsurance, and out-of-pocket exposure at the point of care.

A plan can appear affordable on paper while creating real strain for employees, or manageable for employees while quietly undermining the organization's financial health.

Philippians 2:4 provides a helpful lens: "Let each of you look not only to his own interests, but also to the interests of others." Benefits decisions affect real households, not just budgets.

Typical Ranges for Small Employers

While no two companies are identical, most small and mid-sized employers fall within broad cost ranges that can serve as reference points.

Medical benefits generally represent the largest portion of total benefits spend. Costs vary widely based on funding model, plan design, demographics, and geographic factors. Employers typically cover a majority of the cost, with employees contributing through payroll deductions.

These ranges are not targets. They are **signals**. Being above or below an average is not inherently good or bad, but it should be explainable.

At this stage, many leaders ask a reasonable follow-up question: *Is there a cleaner way to evaluate where we stand without getting lost in plan details?*

There is, and it comes in the form of a normalized metric.

Per Employee Per Year (PEPY) Analysis

It bears repeating: **hyper-focusing on cost is not the goal**. Stewardship is about alignment, sustainability, and care, not optimization at any price.

However, one metric can be especially helpful because it cuts through complexity and allows leaders to compare performance over time. That metric is **Per Employee Per Year (PEPY)**.

PEPY represents total annual plan spend divided by the number of enrolled employees. It creates a consistent way to evaluate benefits regardless of plan structure, contribution strategy, or enrollment shifts.

Rather than asking, "Are premiums higher than last year?" PEPY allows leaders to ask, "Is our plan becoming more or less efficient over time?"

Why PEPY Is Useful

PEPY helps because it:

- Normalizes spend when enrollment changes
- Enables clean year-over-year comparison
- Makes benchmarking more meaningful
- Encourages discussion about *drivers*, not just totals

Used properly, PEPY does not replace deeper analysis. It simply highlights where deeper analysis is warranted.

National Reference Points

According to the Kaiser Family Foundation's annual Employer Health Benefits Survey, average annual premiums for employer-sponsored coverage are approximately $9,300 for single coverage and $27,000 for family coverage.

While these figures are not PEPY by definition, they provide a practical anchor. By weighting premiums based on a company's enrollment mix, employers can estimate a premium-based PEPY that reflects their workforce reality.

For example, a group with a 70% single and 30% family enrollment mix would land near the mid-$14,000 range per enrolled employee annually, based on national averages.

This estimate is not a goal. It is a **reference**: a way to translate abstract premium discussions into a trackable metric.

Employer Cost vs. Total Cost

PEPY is most useful when it reflects **total plan cost**, not just the employer portion. Total cost determines long-term sustainability, even if employees share in the premium.

That said, tracking multiple views can be helpful:

- **Total PEPY** to assess overall efficiency
- **Employer-paid PEPY** to understand budget impact
- **Employee burden** (payroll deductions and out-of-pocket exposure) to evaluate fairness and experience

Each view tells a different story, and all are relevant to stewardship.

PEPY and Level-Funded Performance

One reason many small and mid-sized employers explore level-funded arrangements is the improved visibility they provide into PEPY drivers. When claims data, pharmacy costs, and administrative expenses are transparent, leaders gain levers to influence performance rather than simply absorb increases.

Industry analyses, including those published by organizations like Roundstone, often reference national PEPY benchmarks in the mid-$16,000 range, while demonstrating that some employer groups perform meaningfully below that level depending on structure and engagement.

The takeaway is not that every company should chase a specific number. The takeaway is that **when PEPY is visible, it becomes manageable**.

The Right Way to Use PEPY

PEPY should be used as:

- A **trendline** to track efficiency over time
- A **diagnostic signal** that prompts deeper questions
- A **benchmark reference**, not a promise

PEPY should not be used as:

- A moral scorecard
- A guarantee of savings
- A substitute for employee experience or plan quality

Luke 12:48 reminds us, “From everyone who has been given much, much will be demanded.” Stewardship is not about minimizing spend at all costs. It is about ensuring resources are used wisely, transparently, and in alignment with purpose.

A Better Question to Ask

Rather than asking, “Are we paying too much?” a better question is, “Do we understand what we are paying for, and does it align with our values, goals, and responsibilities?”

When leaders can answer that question confidently, numbers become tools rather than threats.

In the next chapter, we will shift from cost to content, examining which benefits actually matter to employees, and which often add complexity without delivering real value.

CHAPTER 6

Benefits That Matter (and Ones That Don't)

As organizations grow, benefit offerings tend to expand. New options are added, vendors are layered in, and complexity increases. Over time, many employers find themselves offering *more* benefits but delivering *less* clarity and impact.

The assumption driving this expansion is simple: more benefits must mean better benefits. In practice, the opposite is often true.

The value of a benefits package is not measured by the number of options it contains, but by how well it serves employees and supports the organization's mission.

Core Benefits Carry the Greatest Weight

Not all benefits are created equal. Some form the foundation of employee security, while others are supplemental or symbolic.

Medical insurance remains the most important benefit for most employees. It protects against catastrophic financial risk and provides access to care. When medical coverage is poorly designed or poorly communicated, no amount of ancillary benefits can compensate.

Other foundational benefits include dental, vision, disability, and life insurance. These benefits are not glamorous, but they address real needs and provide peace of mind. When structured thoughtfully, they reinforce stability and trust.

Scripture affirms the importance of providing what is necessary. First Timothy 6:8 reminds us, "If we have food and clothing, we will be content with these." Benefits should first meet essential needs before attempting to impress.

The Hidden Cost of "Nice-to-Have" Benefits

Many employers add benefits in response to trends, employee requests, or competitive pressure. While these additions are well-intentioned, they often create unintended consequences.

Each new benefit introduces:

- Administrative burden
- Communication complexity
- Vendor management responsibilities

- Employee confusion

Over time, HR teams spend increasing amounts of time managing benefits that employees barely use or misunderstand. Leaders assume value exists because something is offered, even when utilization tells a different story.

Proverbs 14:15 warns, “The simple believe anything, but the prudent give thought to their steps.” Benefits should be evaluated not by novelty, but by impact.

Employee Understanding Is Part of the Benefit

A benefit that employees do not understand is functionally equivalent to one that does not exist.

Complex plans, overlapping vendors, and unclear communication erode trust. Employees become frustrated when they cannot determine what is covered, how to use benefits, or who to contact for help.

Clear benefits outperform complex benefits. When employees understand how to use their coverage, satisfaction increases even if the plan itself is modest.

This clarity is especially important for medical benefits, where confusion can lead to delayed care or unexpected financial strain.

Faith-Aligned Benefits Require Discernment

For Christian employers, alignment matters. However, alignment does not require labeling every benefit as faith-based.

True alignment shows up in fairness, clarity, and care, not just branding. Benefits that respect employee dignity, promote health, and avoid unnecessary burden reflect Christian values even without explicit religious framing.

Colossians 3:23 encourages believers to work “with all your heart, as working for the Lord.” This applies to benefits decisions as much as any other leadership responsibility.

Faith-aligned benefits should strengthen trust, not create division or confusion.

When Less Is More

In many cases, removing benefits creates more value than adding them. Eliminating underused or redundant offerings reduces administrative load and allows resources to be redirected toward core benefits.

This does not mean cutting indiscriminately. It means evaluating benefits honestly and asking whether they deliver meaningful value relative to their cost and complexity.

Luke 14:31 asks leaders to consider whether they have the resources to carry through what they begin. Benefits should be sustainable, not aspirational at the expense of clarity.

A Simple Framework for Evaluation

Employers can evaluate benefits using a few practical questions:

- Does this benefit address a real, common need?
- Do employees understand how to use it?
- Does it reduce or add to administrative burden?
- Does it align with our values and stewardship goals?

Benefits that fail these tests should be reconsidered, regardless of how popular they once seemed.

Benefits Should Support, Not Distract

The purpose of benefits is not to become a second business. They exist to support employees so they can focus on their work and their lives.

When benefits are well chosen, they fade into the background. When they are poorly chosen, they dominate conversations and drain energy.

Proverbs 16:8 offers perspective: “Better a little with righteousness than much gain with injustice.” Simplicity paired with integrity often outperforms complexity driven by fear or comparison.

In the next chapter, we will examine the operational side of benefits, specifically how benefits design and systems can reduce the burden on HR teams rather than increasing it.

CHAPTER 7

The Role of HR (and How to Reduce Their Burden)

In many small and mid-sized organizations, HR carries an invisible weight. They are expected to manage benefits, interpret regulations, answer employee questions, and absorb frustration, often without authority to change the underlying system.

When benefits become a source of stress, HR feels it first.

This is not a failure of HR. It is usually the result of unclear ownership and poorly designed systems.

HR Is the Administrator, Not the Owner

HR is typically responsible for administering benefits. That includes enrollments, terminations, employee questions, and coordination with vendors. These tasks are essential, but they are not strategic ownership.

Ownership belongs with leadership.

When leadership disengages from benefits decisions, HR is left managing consequences rather than outcomes. They become the messenger for renewal increases and plan changes they did not design.

Scripture emphasizes clarity of responsibility. First Corinthians 14:40 states, “Let all things be done decently and in order.” Our God is a God of order. Order requires knowing who owns decisions and who executes them.

When ownership and administration are confused, frustration follows.

The Cost of HR Overload

Benefits administration can quietly consume a disproportionate amount of HR time. Repetitive tasks, manual data entry, and employee confusion compound throughout the year.

The cost is not just hours spent. It is opportunity cost. Time spent fixing enrollment errors or answering the same questions is time not spent on hiring, development, or culture.

Proverbs 24:27 offers insight: “Put your outdoor work in order and get your fields ready; after that, build your house.” When foundational systems are disordered, higher-level work suffers.

Benefits Design Either Creates or Reduces Work

The way benefits are designed directly affects HR workload.

Complex plans generate questions. Multiple vendors create coordination issues. Poor communication leads to repeated clarification. Each layer of complexity multiplies administrative burden.

Conversely, well-structured benefits reduce friction. Clear eligibility rules, streamlined enrollment processes, and consistent plan design minimize confusion and errors.

HR should not be asked to compensate for poor design with effort.

Systems Matter More Than Heroics

Many organizations rely on HR heroics to keep benefits functioning. When something breaks, HR steps in. When confusion arises, HR absorbs it.

This approach is unsustainable.

Systems, not effort, create scalability. Centralized platforms, standardized workflows, and documented processes reduce dependence on individual knowledge.

Exodus 18:17–18 provides a powerful parallel when Moses is warned that carrying everything alone will wear him out. Wise leadership distributes responsibility and builds structure.

Leadership's Role in Reducing HR Burden

Leaders reduce HR burden by:

- Engaging earlier in benefits planning
- Demanding clarity and transparency from advisors
- Choosing systems that scale with growth
- Resisting unnecessary complexity

This does not require micromanagement. It requires intentional oversight and partnership.

When leadership treats benefits as a strategic function rather than an annual inconvenience, HR gains the support needed to do their work well.

HR as a Strategic Partner

When benefits are simplified and systems are aligned, HR can shift from reactive problem-solving to proactive people support.

This shift improves morale, retention, and culture. HR becomes a strategic partner rather than a buffer between leadership and employees.

Ephesians 4:16 speaks to this interdependence: “From him the whole body… grows and builds itself up in love, as each part does its work.” Organizations function best when roles are clear and supported.

Reducing Burden Is an Act of Stewardship

Reducing HR burden is not about efficiency for efficiency’s sake. It is about stewardship of people’s time, energy, and calling.

When HR is overwhelmed, everyone feels it. When HR is supported, the organization benefits.

In the next chapter, we will turn to a critical decision point for employers: how to evaluate a benefits advisor before misalignment becomes costly.

CHAPTER 8

How to Evaluate a Benefits Advisor (Before It's Too Late)

Most small businesses do not intentionally choose the wrong benefits advisor. More often, they simply never evaluate the relationship at all.

The advisor was referred by a friend, inherited from a previous leadership team, or chosen years ago when the company looked very different. Over time, the relationship becomes familiar, and familiarity is mistaken for alignment.

This chapter is not about blaming advisors. It is about helping employers understand what a healthy advisory relationship looks like, and when it may be time to ask better questions.

Advisors Are Not Interchangeable

Many employers assume all benefits advisors do roughly the same thing. Quotes are presented, renewals are explained, and paperwork is completed. From the outside, it looks transactional.

In reality, advisors differ significantly in philosophy, incentives, and engagement. Some function primarily as order-takers. Others act as strategic partners.

The difference matters.

Proverbs 27:17 reminds us, "As iron sharpens iron, so one person sharpens another." An advisor should sharpen leadership's thinking, not merely facilitate transactions.

The Danger of Passive Relationships

A passive advisor relationship is not necessarily hostile or negligent. It is often polite, responsive, and familiar. Emails are answered. Renewals arrive on time.

The danger lies in what *doesn't* happen:

- No proactive planning
- No alternative models discussed
- No benchmarking or data transparency
- No challenge to assumptions

Over time, this passivity becomes expensive. Employers remain locked into structures that no longer fit, while believing they are being well-served.

Comfort and correctness are not the same.

Questions Every Employer Should Be Able to Answer

Rather than evaluating advisors based on personality or tenure, employers should evaluate outcomes and alignment.

Healthy advisory relationships allow leaders to confidently answer questions like:

- Do we understand how our plan is funded?
- Can we explain what drives our costs?
- Are alternative funding models discussed proactively?
- Do we receive meaningful data before renewal?
- Are decisions framed around our goals and values?

If these questions feel difficult to answer, the issue may not be the plan. It may be the advisory relationship.

Incentives Matter (Even When Intentions Are Good)

Most advisors care about their clients. That does not mean incentives are irrelevant.

Many advisors are compensated primarily through carrier commissions. This structure can unintentionally reward simplicity, stability, and minimal disruption, even when change might benefit the employer.

This does not imply wrongdoing. It does, however, mean employers must understand how advice is shaped.

First Timothy 6:9–10 cautions against misplaced trust in systems that subtly pull hearts in the wrong direction. Money is a powerful incentive, either for good or bad. Transparency around incentives supports trust rather than undermining it.

Alignment Over Access

Employers are often impressed by access: carrier logos, vendor relationships, or promises of exclusive solutions. While access matters, alignment matters more.

An aligned advisor:

- Understands the organization’s mission and constraints
- Communicates in plain language
- Balances cost, risk, and employee experience

- Is willing to say “this may not be right for you”

Alignment creates confidence. Access alone creates dependency.

When It’s Time to Reevaluate

There are moments when reevaluation is prudent, not disloyal:

- When the organization grows significantly
- When costs accelerate without explanation
- When leadership priorities shift
- When HR burden increases despite stable benefits

Ecclesiastes 3:1 reminds us, “There is a time for everything.” Reassessment is not betrayal. It is stewardship.

A Faithful Posture Toward Advice

Christian employers are called to seek counsel, but not blindly. Proverbs 15:22 states, “Plans fail for lack of counsel, but with many advisers they succeed.”

Good counsel invites dialogue, comparison, and prayerful consideration. It does not demand exclusivity or discourage questions.

An advisor who welcomes scrutiny is an advisor worth keeping.

Choosing Partnership Over Transaction

The goal is not to constantly switch advisors. The goal is to ensure the relationship remains healthy, aligned, and effective.

When advisory relationships function well, renewals become conversations, not surprises. HR feels supported rather than exposed. Leadership regains clarity and confidence.

In the final chapter, we will bring everything together, outlining what a healthier, more faithful approach to employee benefits can look like moving forward.

CHAPTER 9

A Better Way Forward for Small Businesses

At this point in the guide, one thing should be clear: employee benefits do not have to feel chaotic, adversarial, or perpetually disappointing.

The frustration most small business owners and HR leaders experience is not inevitable. It is the result of systems that prioritize convenience over clarity and habit over intention. When those systems go unexamined, they quietly shape outcomes.

A better way forward begins with reclaiming ownership.

From Reaction to Intention

Many organizations manage benefits reactively. Renewals arrive, decisions are made under pressure, and the cycle repeats. Over time, leaders disengage not because they do not care, but because the process feels unproductive.

Intentional benefits management looks different. It shifts conversations earlier in the year. It asks better questions before problems surface. It replaces surprise with preparation.

Proverbs 16:9 reminds us, “In their hearts humans plan their course, but the Lord establishes their steps.” Planning is not an attempt to control outcomes; it is an act of responsibility and trust.

Clarity Over Complexity

A healthier benefits strategy is not necessarily more complex. In fact, clarity often requires subtraction.

Clarity means understanding:

- How your plan is funded
- What drives cost changes
- What employees actually value
- Where risk truly resides

When these fundamentals are understood, many secondary concerns lose their power. Decisions become simpler because priorities are clear.

Jesus' words in Matthew 6:22 apply here: "The eye is the lamp of the body. If your eyes are healthy, your whole body will be full of light." When leaders see clearly, organizations move confidently.

Stewardship as the Guiding Principle

For Christian employers, benefits decisions are not merely operational. They are moral and relational.

Stewardship does not demand perfection. It demands faithfulness. It asks leaders to care for people well while protecting the long-term health of the organization. It resists both neglect and excess.

Luke 16:11 poses a sobering question: "So if you have not been trustworthy in handling worldly wealth, who will trust you with true riches?" Benefits are a tangible expression of trustworthiness in leadership.

Progress, Not Overhaul

A better way forward does not require tearing everything down. Most organizations improve benefits incrementally.

Progress might look like:

- Reviewing funding models earlier in the year
- Requesting clearer data and explanations
- Simplifying plan design
- Reducing administrative burden on HR
- Aligning benefits discussions with leadership priorities

Small steps, taken consistently, compound into meaningful change.

Improvement is gradual, but direction matters.

Shared Responsibility

Benefits work best when responsibility is shared appropriately. Leadership sets direction and priorities. HR administers and supports employees. Advisors provide expertise and perspective.

When each role is honored and supported, the system functions as it should. Burden is reduced. Trust grows. Outcomes improve.

Alignment strengthens the whole.

An Invitation to Evaluate, Not Commit

The purpose of this guide has not been to prescribe a single solution. It has been to equip leaders with understanding.

If this guide prompts you to ask better questions, seek clearer answers, or evaluate your current approach more honestly, it has served its purpose.

Benefits do not need to be perfect. They need to be **understood**, **intentional**, and **faithfully managed**.

A better way forward is available to small businesses willing to engage: thoughtfully, prayerfully, and with courage.

APPENDIX

A Practical Benefits Checklist for Owners and HR Leaders

This checklist is not meant to replace professional advice or dictate specific plan designs. Its purpose is to help owners and HR leaders evaluate whether their current benefits approach is **understood, intentional, and aligned**.

If you cannot confidently answer several of these questions, it may be time for a deeper review.

1. Leadership Clarity

- [ ] Can leadership explain, in plain English, how the health plan is funded?
- [ ] Do decision-makers understand where financial risk actually sits?
- [ ] Are benefits discussed proactively during the year, not just at renewal?
- [ ] Is there clarity on *why* the current plan was chosen?

> *"The plans of the diligent lead surely to abundance."*
>
> Proverbs 21:5

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2. Cost & Stewardship

- [ ] Do we know our approximate Per Employee Per Year (PEPY) cost?
- [ ] Can we explain what drives increases or decreases in that cost?
- [ ] Are we tracking total plan cost, not just the employer portion?
- [ ] Do benefit decisions balance financial sustainability with employee care?

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3. Funding Model Fit

- [ ] Do we understand the difference between fully insured and self-funded options?
- [ ] Has our funding model been reevaluated as the organization has grown?
- [ ] Have alternative structures (such as level-funded plans) been discussed objectively?
- [ ] Are we aware of the tradeoffs involved in our current structure?

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4. Renewal Readiness

- [ ] Do renewal conversations begin at least 90–120 days before plan year end?
- [ ] Do we receive meaningful data before rates are finalized?
- [ ] Are renewal decisions made with options, not ultimatums?
- [ ] Do we understand what actions, if any, could influence future renewals?

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5. Employee Experience

- [ ] Do employees understand how to use their benefits?
- [ ] Is benefit communication clear, simple, and consistent?
- [ ] Are payroll deductions and out-of-pocket exposure explained in advance?
- [ ] Do benefits reduce stress rather than create confusion?

> *"Look not only to your own interests, but also to the interests of others."*
>
> Philippians 2:4

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6. HR Burden & Systems

- [ ] Does HR spend a disproportionate amount of time on benefits administration?
- [ ] Are enrollment, terminations, and changes handled through a centralized system?
- [ ] Are workflows documented and repeatable?
- [ ] Do benefits systems scale as the organization grows?

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7. Advisor Alignment

- [ ] Does our advisor explain tradeoffs clearly and transparently?
- [ ] Are alternative funding models discussed proactively?
- [ ] Do we understand how our advisor is compensated?
- [ ] Does our advisor challenge assumptions respectfully?
- [ ] Do we feel supported rather than rushed at renewal?

> *"Plans fail for lack of counsel, but with many advisers they succeed."*
> Proverbs 15:22

Interpreting Your Answers

This checklist is not a pass/fail test. It is a diagnostic tool.

- **Mostly "yes" answers** suggest your benefits approach is intentional and aligned.
- **Several "not sure" or "no" answers** suggest opportunities for improvement.
- **Consistent uncertainty** indicates the need for deeper review or additional perspective.

Stewardship begins with understanding. Clarity creates confidence. And confidence allows leaders to serve both people and mission faithfully.

THE NEXT STEP

Ready for Clarity?

If this guide surfaced questions you cannot yet answer, that is not a failure. It is a starting point.

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